IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement (Demerger)*

Between

CP(CAA)/76/CHE/2021 IN CA (CAA) 69/CHE/2021

LS MILLS LIMITED
CIN: U17111TN1983PLC009973
Door No 351, Madurai Road,
Theni- 625 351, Tamil Nadu.

...Petitioner/Demerged Company

Along with

CP(CAA)/77/CHE/2021 IN CA (CAA) 70/CHE/2021

LS SPINNING MILLS PRIVATE LIMITED
CIN: 17299TN2019PTC132302
No 16, Cumbum Main Road, Muthuthevanpatti,
Theni- 625 534, Tamil Nadu.

... Petitioner/Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

*Order Pronounced on **20th April 2022***

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): R. Vidhya Shankar, Advocate

COMMON ORDER

Per: **R. SUCHARITHA, MEMBER (JUDICIAL)**

Under consideration are two Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. **LS Mills Limited** *(hereinafter referred to as "Demerged Company")* and **LS Spinning Mills Private Limited** *(hereinafter referred to as "Resulting Company")* and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed as "P5" to the typed set filed along with the CP/CAA/76 & 77/CHE/2021.

2. The Registered office address of the Demerged Company is situated at Theni, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/69 & 70/CAA/2019 before the NCLT, Chennai Bench and directions were issued vide order dated 13.10.2021.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Demerged Company had filed its First Motion Application vide CA/69/CAA/2019 seeking directions for holding of meeting of the Unsecured Creditors and in respect of the Resulting Company in CA/70/CAA/2019 seeking directions for holding of meeting of the Unsecured Creditors.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 13.10.2021, to convene the meetings of the Unsecured Creditors of the Demerged Company on 27.11.2021 at the Registered office address of the Demerged Company at 10:00 AM (through Video Conferencing mode) and 11:00 AM (through Video Conferencing mode) and to convene the meetings of the Unsecured Creditors of the Resulting Company on 27.11.2021 at 1.00 PM (through Video Conferencing mode) the Registered office address of the Demerged Company. Accordingly the Tribunal has appointed 'S. Majula Devi, Advocate' as Chairman and 'M. Damodaran, PCS' as Scrutinizer for the said meetings. Subsequent to the said order, the Demerged Company has filed the present Petition

before this Tribunal on 12.12.2021 for sanction of the Scheme of Arrangement by this Tribunal.

3.3. The Chairman submitted her Report on the above said meetings held on 27.11.2021. From the Chairman's Report, it is observed that the Unsecured Creditors of both the Demerged Company and the Resulting Company had consented in favour of the Scheme. The said Chairman's report is also annexed at "P-16" to the typed set filed along with the Petition.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. The nature of focus, strategies, risk mitigation, management bandwidth, etc. required for a composite textile unit, as opposed to a standalone spinning unit, are very different.

b. The demerger would provide scope for independent focus and expansion without committing the organization in entirety.

c. It is believed that the proposed demerger will create enhanced value for the shareholders and allow a focused strategy in operations which would be in the best interest of all stake holders.

d. The Board of Demerged Company considered that it would be advantageous to demerge the Demerged undertaking into a separate entity.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 12.01.2022 has directed the Resulting Company to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (Chennai Edition) and *"Makkal Kural"* Tamil (Chennai Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 10.02.2022 and a perusal of the same discloses that the Demerged Company has effected paper publication as directed by the Tribunal in one issue of *"Business Standard"* (Chennai Edition) in English and *"Makkal Kural"* (Chennai Edition) in Tamil on 04.02.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region on 25.01.2022 (ii) Registrar of Companies Chennai on 25.01.2022 (iii) Deputy Commissioner of Income Tax, Madurai on 25.01.2022. Pursuant to the service of notice of the

petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Southern Region to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 11.02.2022 and has stated that Para 3.4 of Part III of the Scheme provides for the protection of the interest of the employees/staff/workmen of the Demerged Company. It is also stated that as per the report of Registrar of Companies, Chennai, both the Demerged and Resulting Company are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies.

7.2 However the RD in para 9 of their said report had stated that as per Part IV, para 6.2 that deals with increasing their authorized share capital of the Resulting Company and this Tribunal may direct the said Resulting Company to pay the fees with regard to the increase of the Authorized share

capital and also file the amended MOA and AOA with the ROC, Chennai.

7.3. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.4. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Deputy Commissioner of Income Tax, Madurai does not have any objection to the sanction of the Scheme.

7.5 Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.6 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> "taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Vasudevan. S, Chartered Accountant & Registered Valuer dated 06.02.2021, wherein it has been recommended by the Independent Valuer as follows;

> " Share Exchange ratio- Demerger of standalone spinning division of LSM to LSSM shall be one (1) Equity Share of LSSM (of Rs.10/- each fully paid up) issued for every 1.7735 Equity Shares of LSM (of

Rs.10/- each fully paid up) against the demerger of standalone spinning mill division of LSM into LSM. "

9. **ACCOUNTING TREATMENT**

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each of the Petitioner Companies are placed at page **'321'** with the petition in CP/76/CAA/2021 and Page '**156**' of CP/77/CAA/2021 respectively.

10. **OBSERVATIONS OF THIS TRIBUNAL**

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having

been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "P-5" along with CP/ 76 & 77/CAA/2020.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Demerger and Resultant Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in

accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged

undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 6.1 of Part IV of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(vii) That the Appointed date for the Scheme shall be **01.04.2020** as mentioned in clause 1.2 of Part I of the SCHEME itself.

(viii) The 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme is filled with ROC Chennai as mentioned in clause 1.1 of Part I of the SCHEME.

(ix) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(x) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Varshini